ONEWAY FX

HFX / Binary Options & Candlestick Trading Guide

A Beginner-to-Practitioner Handbook for Reading Candles and the Patterns That Move Short-Expiry Markets

Education Series • Volume I

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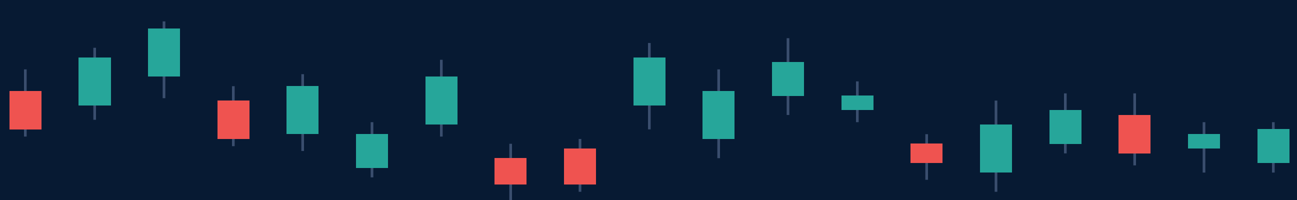

IMPORTANT NOTICE

Risk Disclosure

This guide is published by OneWay FX for educational purposes only. It is designed to help readers understand candlestick charting concepts that are widely used across foreign exchange (FX), HFX, and binary options markets. Nothing in this document is financial advice, a recommendation to trade, or a guarantee of any trading outcome.

Please read before continuing

- HFX and binary options trading carries a very high level of risk and is not suitable for every investor. It is possible to lose some, or all, of your invested capital, and losses can occur quickly given the short time frames involved.
- Candlestick patterns describe historical probabilities of trader behavior — they do not predict the future with certainty. No pattern, indicator, or strategy works every time.
- Binary options products are restricted or unavailable to retail clients in a number of jurisdictions. Confirm the products, leverage, and instruments available to you are permitted where you live before trading.
- Never trade with money you cannot afford to lose. Use proper risk and money management, start with a demo account, and seek independent financial advice if you are unsure whether trading is right for you.

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CHAPTER 1

Welcome to OneWay FX

Welcome, and thank you for picking up the OneWay FX Trading Guide. Whether you are completely new to the markets or already have some experience and want to sharpen your chart-reading skills, this book was written to give you a clear, practical foundation in one of the most widely used tools in short-term trading: the candlestick chart.

OneWay FX exists to help traders make sense of fast-moving markets. Candles and the patterns they form are the visual language that traders around the world use to read crowd psychology — the ongoing tug-of-war between buyers and sellers — in real time. Learning to read that language well is one of the most valuable skills you can build as a trader, in HFX, binary options, or any other market you go on to trade.

What this guide covers

- What HFX and binary options trading actually are, and how they differ from traditional spot trading.
- How a single candle is built, and what its shape tells you about the battle between buyers and sellers.
- A complete, illustrated library of the fourteen candlestick patterns every trader should recognize on sight.
- How to combine candle signals with sound risk management before you ever place a trade.

Read this guide alongside a live or demo chart. Candlestick reading is a visual, pattern-recognition skill — it sticks best when you see it in motion, not just on the page.

CHAPTER 2

What Is HFX / Binary Options Trading?

HFX refers to high-frequency, short-expiry FX trading — taking positions on the direction of a currency pair (or other instrument) over a compressed time frame, from as little as sixty seconds up to a few hours. Binary options are a specific way of structuring that short-term view: instead of buying or selling the instrument itself, you are predicting whether its price will be above or below a set level (the strike) at a set expiry time.

The core mechanics

- **Direction, not magnitude.** With a binary option, you only need to be right about direction — up or down — not by how much. The payout is fixed in advance and does not scale with how far price moves.
- **Fixed risk, fixed reward.** Before you enter, you know exactly what you stand to gain if you're right and exactly what you stand to lose if you're wrong — there is no margin call or open-ended loss on the position itself.
- **Defined expiry.** Every position has a set expiry time. When it arrives, the trade settles automatically based on where price is relative to the strike.
- **Compressed decision-making.** Because expiries can be short, HFX / binary options trading rewards traders who can read price action quickly and decisively — which is exactly where candlestick analysis earns its keep.

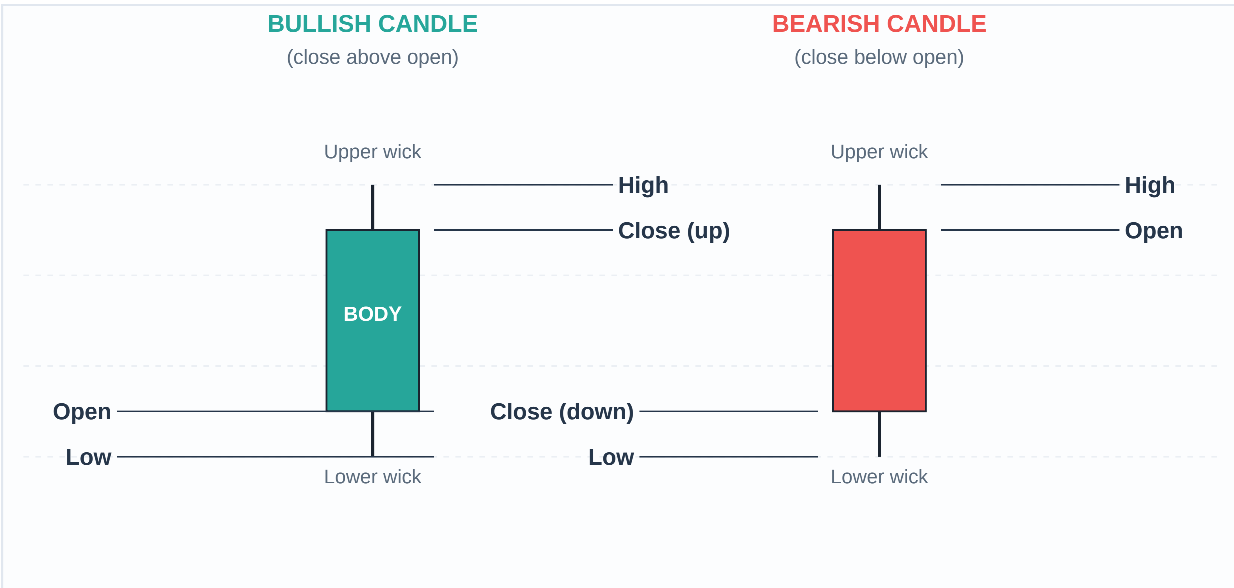
Why candles matter so much here

Because HFX and binary options trades are decided on direction within a fixed window, the most useful information you have is what price is doing *right now* and what it has just finished doing. Candlestick charts compress that information into an immediately readable shape — a single candle can show you who won the last round of the fight between buyers and sellers, and a sequence of candles can show you whether that fight is about to change hands. The rest of this guide teaches you to read that shape fluently.

CHAPTER 3

Anatomy of a Candle

Every candlestick, on any time frame, is built from exactly four data points: the **open**, **high**, **low**, and **close** of that period (often shortened to OHLC). Those four numbers are all it takes to draw the candle.



The open, high, low, and close define the body and wicks of every candle.

The three parts of every candle

- **The body** — the thick rectangle between the open and close. A **green (bullish)** body means the close was higher than the open — buyers won that period. A **red (bearish)** body means the close was lower than the open — sellers won.
- **The upper wick (or shadow)** — the thin line above the body, marking the highest price reached during the period that the close did not hold.
- **The lower wick (or shadow)** — the thin line below the body, marking the lowest price reached during the period that the close did not hold.

A long body means one side dominated the entire period. A long wick means price traveled a long way in one direction and was then pushed back — a sign of rejection. Short wicks with a large body show conviction; long wicks with a small body show a fight that ended in a draw. Every pattern in this guide is built from combinations of these simple ideas.

CHAPTER 4

How to Read a Candle

Reading a candle well means asking the same short checklist every time you look at one. With practice, this becomes instant — but it's worth practicing deliberately at first.

1. Who won?

Is the body green (buyers closed higher than they opened) or red (sellers closed lower than they opened)?

2. How strong was the move?

Compare the size of the body to the candles around it. A big body means one side pushed hard and won clearly. A small body means buyers and sellers were evenly matched, and neither side gained much ground.

3. Were there rejections?

Long wicks show price was pushed to an extreme and then rejected — the longer the wick relative to the body, the stronger the rejection.

4. Where did it happen?

The exact same candle shape means very different things depending on whether it appears after a long trend, at a known support/resistance level, or in the middle of a quiet range. Location is often more important than shape.

5. What came before and after?

Almost no single candle should be traded in isolation. Look at the two or three candles before it for context, and wait for the next candle to confirm what the signal candle suggested.

Keep this checklist in mind through Part II of this guide — every pattern below is really just a specific, named answer to these five questions.

PART II

The Candlestick Pattern Library

This section illustrates and explains fourteen of the most widely used candlestick patterns, organized roughly from single-candle patterns to multi-candle patterns. Each entry follows the same format: an at-a-glance summary, an illustration showing the pattern in context, what the pattern looks like, the psychology behind it, how OneWay FX traders typically use it, and a caution to keep in mind.

In every illustration, the faded gray candles on the left show the prior trend leading into the setup, the bold colored candles in the middle are the pattern itself, and the dashed gold arrow shows the directional bias the pattern implies.

PATTERN 1 OF 14

Doji

The market pauses to catch its breath

BIAS	RELIABILITY	BEST SEEN
Indecision	**Low alone / High with context**	**After a strong trend, at support or resistance**

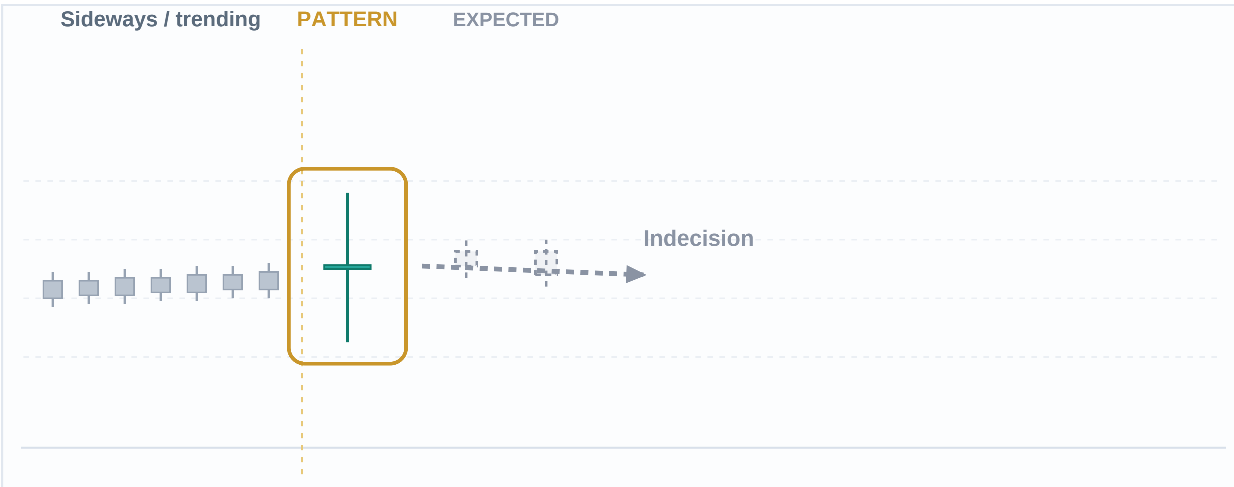


Figure — Doji: prior trend, the pattern, and its implied bias.

What it looks like

A Doji forms when a candle's open and close are virtually equal, leaving little to no real body — just a thin horizontal line with wicks extending above and/or below it. Visually it looks like a plus sign or cross sitting on the price chart.

The psychology behind it

Buyers and sellers pushed the price around during the period but ended up fighting to a draw. Neither side could hold control into the close, which signals hesitation and a possible shift in momentum, especially after a sustained run in one direction.

How OneWay FX traders use it

On its own, a Doji is not a trade signal — it's a warning light. HFX / binary options traders treat it as a cue to watch the next 1-2 candles closely: a strong candle breaking away from the Doji in either direction often confirms which side won the tug-of-war and can be used as an entry trigger for a short-expiry position in that direction.

Caution

Doji candles are extremely common in choppy, low-volatility markets and mean very little there. Only give weight to a Doji that appears after a clear, extended trend or at an obvious support/resistance level.

PATTERN 2 OF 14

Dragonfly Doji

Sellers tried to take control — and failed

BIAS	RELIABILITY	BEST SEEN
Bullish Reversal	**Medium-High at support**	**End of a downtrend, at a support level**

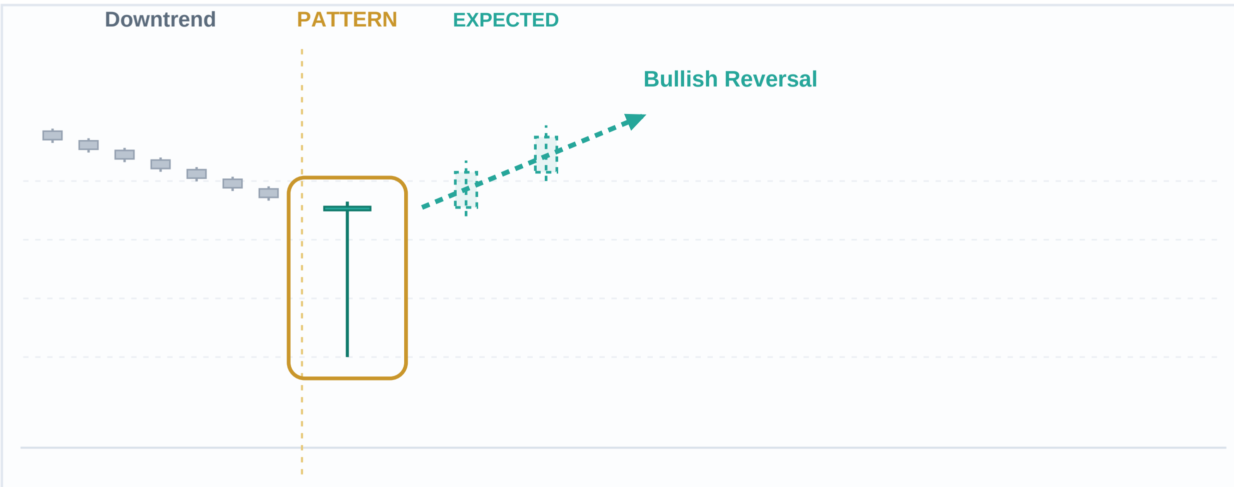


Figure — Dragonfly Doji: prior trend, the pattern, and its implied bias.

What it looks like

A Dragonfly Doji has its open and close near the top of the candle's range, a long lower wick, and little to no upper wick. The shape resembles a capital letter 'T' or an insect's long tail hanging below a flat body.

The psychology behind it

Price opened, sellers drove it sharply lower during the session, but buyers stepped in with enough force to push it all the way back up to the open by the close. That long lower wick is a rejection of lower prices — a strong signal that demand is returning.

How OneWay FX traders use it

When a Dragonfly Doji forms after a decline and lands on a known support level, it is one of the more reliable single-candle bullish reversal signals. Traders often look for the next candle to confirm with a higher close before positioning for an upward move.

Caution

A Dragonfly Doji found in the middle of a range or an uptrend carries far less meaning. Context — where the candle appears — matters more than the candle shape itself.

PATTERN 3 OF 14

Gravestone Doji

Buyers pushed higher — then lost the room

BIAS	RELIABILITY	BEST SEEN
Bearish Reversal	**Medium-High at resistance**	**End of an uptrend, at a resistance level**

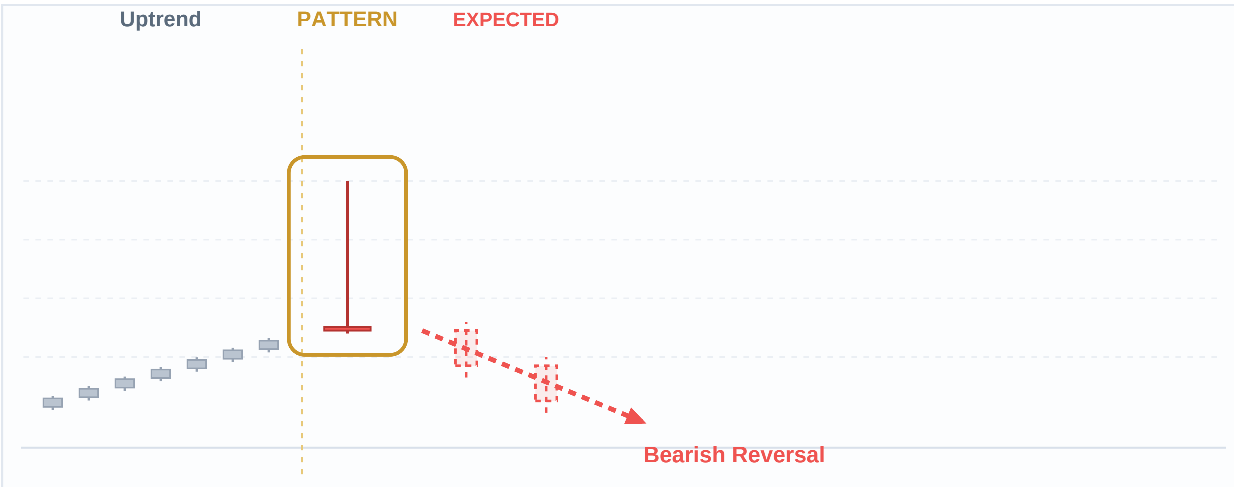


Figure — Gravestone Doji: prior trend, the pattern, and its implied bias.

What it looks like

The mirror image of the Dragonfly: open and close sit near the bottom of the range, with a long upper wick and virtually no lower wick. It looks like an upside-down 'T', or a gravestone marker sitting on the chart.

The psychology behind it

Buyers pushed price sharply higher during the session, but sellers overwhelmed them and dragged price back down to near the open by the close. That long upper wick shows rejection of higher prices — momentum is fading right where buyers needed it most.

How OneWay FX traders use it

A Gravestone Doji forming after an uptrend, especially at resistance, warns that the rally may be running out of steam. Traders watch for a bearish follow-through candle before treating it as a signal to fade the move.

Caution

Like all Doji variants, this pattern is noise without context. Always confirm it sits at the top of a genuine move, not in a flat, directionless market.

PATTERN 4 OF 14

Hammer

A sharp sell-off gets swallowed by buyers

BIAS	RELIABILITY	BEST SEEN
Bullish Reversal	**Medium-High with confirmation**	**After a downtrend**

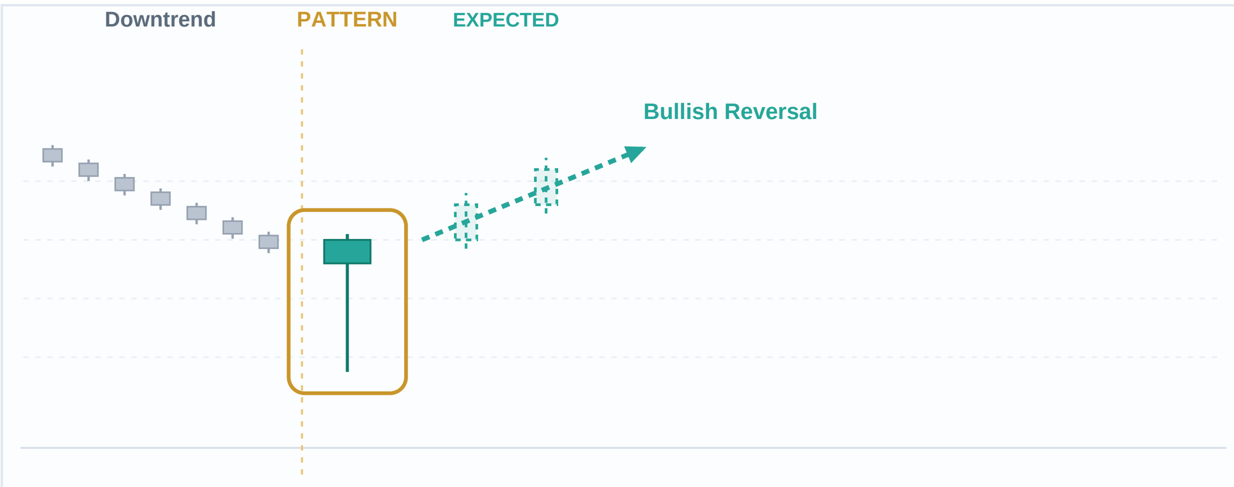


Figure — Hammer: prior trend, the pattern, and its implied bias.

What it looks like

A small real body sitting near the top of the candle's range, with a lower wick at least twice the length of the body and little to no upper wick. It resembles a hammer with the handle pointing down.

The psychology behind it

Sellers pushed price well below the open during the session, but buyers absorbed that pressure and drove price back up near the open (or higher) by the close. It shows a decisive intraday rejection of lower prices after a decline.

How OneWay FX traders use it

Hammers are one of the most-watched reversal signals in short-term trading. HFX / binary options traders typically wait for the next candle to close above the hammer's body before entering a bullish position, using the hammer's low as an invalidation reference point.

Caution

A hammer with no prior downtrend is just a small candle with a long wick — it has no reversal meaning. The body color (green or red) is secondary to the shape and location.

PATTERN 5 OF 14

Hanging Man

The same shape as a Hammer — a very different message

BIAS	RELIABILITY	BEST SEEN
Bearish Reversal	**Medium, needs confirmation**	**After an uptrend**

Figure — Hanging Man: prior trend, the pattern, and its implied bias.

What it looks like

Identical in shape to the Hammer — small body near the top of the range with a long lower wick — but it appears after a rally instead of a decline.

The psychology behind it

During the session, sellers managed to push price sharply below the open even though the broader trend has been up. Buyers recovered price by the close, but the fact that sellers could generate that much downside pressure at all is an early warning that demand may be drying up.

How OneWay FX traders use it

Because it looks exactly like a bullish Hammer, the Hanging Man is identified purely by its position after an uptrend. Traders wait for a bearish confirmation candle — a close below the Hanging Man's body — before acting on it.

Caution

Never trade a Hanging Man in isolation; it is a caution flag, not a trigger. Many false signals occur when traders skip the confirmation step.

PATTERN 6 OF 14

Shooting Star

A rally that reaches too far, too fast

BIAS	RELIABILITY	BEST SEEN
Bearish Reversal	**Medium-High with confirmation**	**After an uptrend**

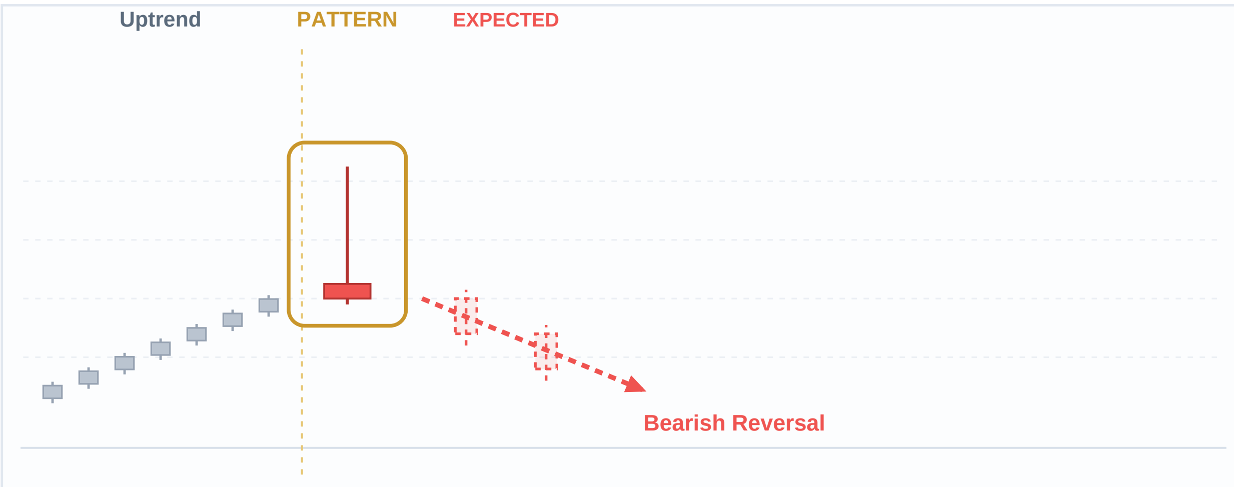


Figure — Shooting Star: prior trend, the pattern, and its implied bias.

What it looks like

A small real body near the bottom of the range, with a long upper wick at least twice the body's length and little to no lower wick — the upside-down mirror of the Hammer.

The psychology behind it

Buyers pushed price sharply higher intraday, but sellers took control and drove it back down near the open by the close. It signals that upward momentum was firmly rejected at the highs.

How OneWay FX traders use it

A Shooting Star after a clear uptrend is a classic short-term exhaustion signal. Traders look for the next candle to close below the star's body to confirm sellers are in control before positioning for a move lower.

Caution

A Shooting Star in a downtrend or sideways market carries little significance — the pattern only earns its name after an advance.

PATTERN 7 OF 14

Bullish Engulfing Bar

A big green candle swallows the prior red one whole

BIAS	RELIABILITY	BEST SEEN
Bullish Reversal	**High**	**After a downtrend**

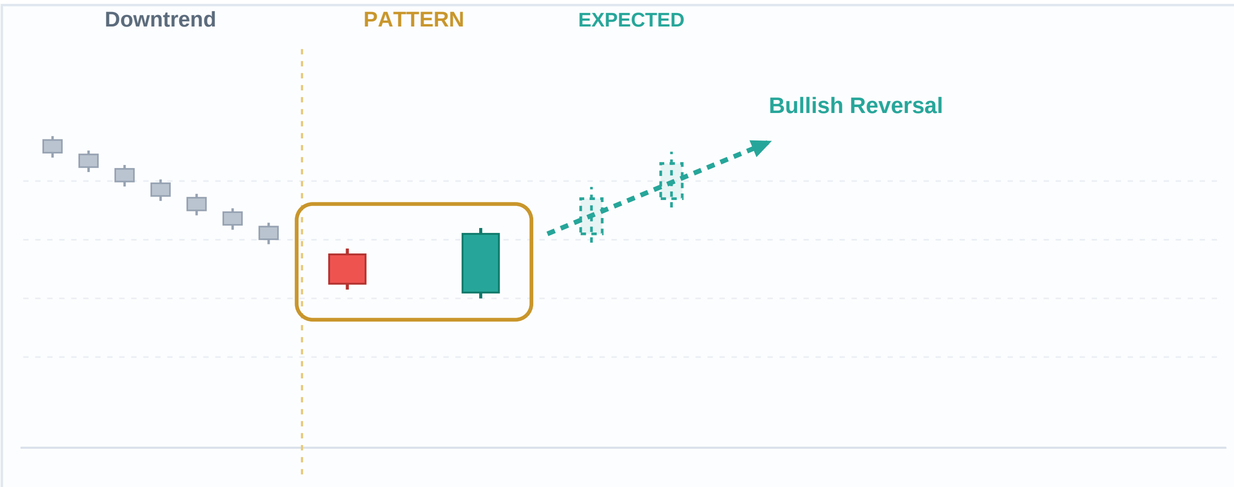


Figure — Bullish Engulfing Bar: prior trend, the pattern, and its implied bias.

What it looks like

A two-candle pattern: a smaller bearish (red) candle followed by a larger bullish (green) candle whose body completely engulfs the body of the first — opening at or below the prior close and closing above the prior open.

The psychology behind it

Sellers were in control on the first candle, but buyers stepped in decisively on the second, not only reversing the loss but overpowering the entire prior session's range. It represents a clean, forceful shift from seller control to buyer control.

How OneWay FX traders use it

This is one of the most trusted two-candle reversal signals in HFX / binary options trading. Many traders enter a bullish position as soon as the engulfing candle closes, using the low of the pattern as their invalidation level.

Caution

The strength of the signal scales with the size of the engulfing candle and the volume/momentum behind it. A marginal engulfing candle in a strong downtrend is weaker evidence than one that appears at an established support zone.

PATTERN 8 OF 14

Bearish Engulfing Bar

A big red candle erases the prior green one entirely

BIAS	RELIABILITY	BEST SEEN
Bearish Reversal	**High**	**After an uptrend**

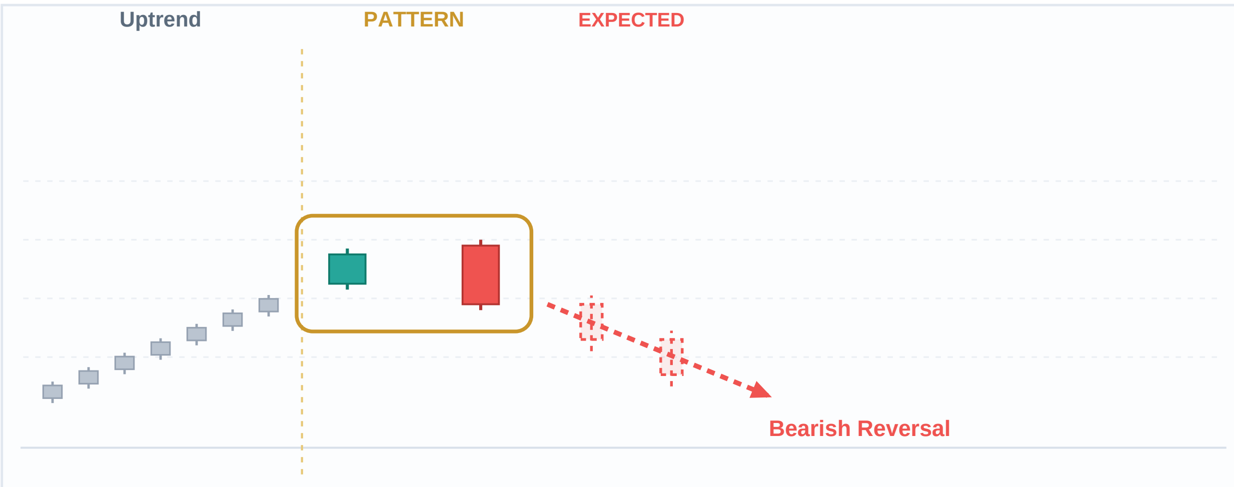


Figure — Bearish Engulfing Bar: prior trend, the pattern, and its implied bias.

What it looks like

A smaller bullish (green) candle followed by a larger bearish (red) candle whose body completely engulfs the first — opening at or above the prior close and closing below the prior open.

The psychology behind it

Buyers held control on the first candle, but sellers overwhelmed them on the second, erasing the entire gain and then some. It marks a forceful handover from buyer control to seller control.

How OneWay FX traders use it

Traders treat a confirmed Bearish Engulfing Bar after an uptrend as a high-confidence signal to position for a move lower, typically as soon as the engulfing candle closes.

Caution

Watch for engulfing patterns that occur into a resistance zone — the combination of pattern and level meaningfully increases reliability versus the pattern appearing in open air.

PATTERN 9 OF 14

Bullish Harami

A small candle rests quietly inside a big one

BIAS	RELIABILITY	BEST SEEN
Bullish Reversal	**Medium**	**After a downtrend**

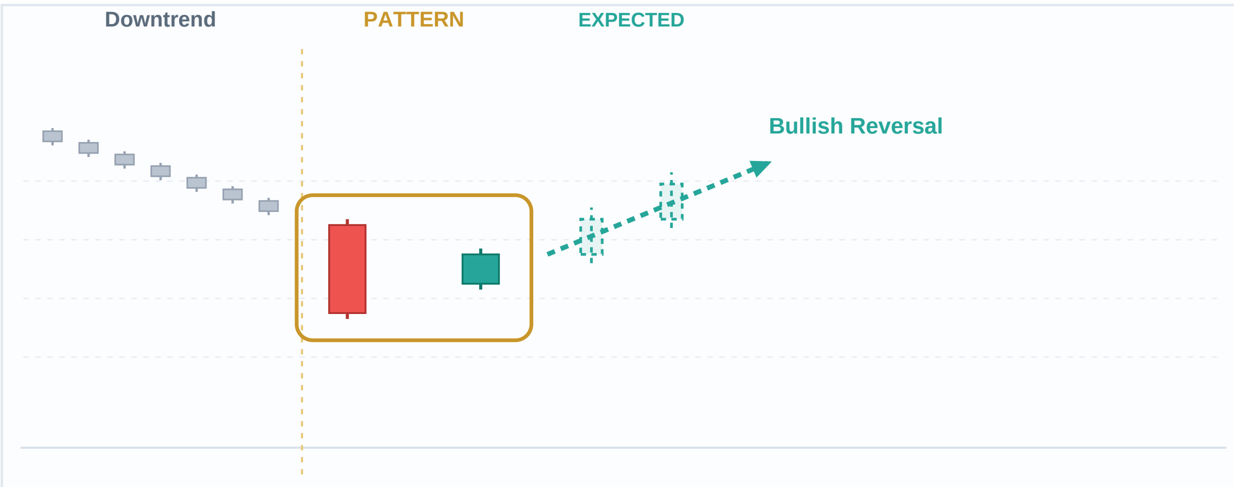


Figure — Bullish Harami: prior trend, the pattern, and its implied bias.

What it looks like

A large bearish (red) candle followed by a small bullish (green) candle whose entire body sits inside the range of the first candle's body — the opposite of an engulfing pattern. 'Harami' is Japanese for 'pregnant', describing the small candle tucked inside the large one.

The psychology behind it

Selling pressure was dominant and forceful on the first candle, but the follow-through evaporates on the second — the sharp contraction in range signals sellers are losing conviction, even though buyers haven't yet taken control.

How OneWay FX traders use it

A Bullish Harami is a softer, earlier warning sign than a Bullish Engulfing Bar. Many traders wait for a third candle to close higher before entering, using the harami as an early heads-up rather than a standalone trigger.

Caution

Because the second candle is small, this pattern is less decisive than an engulfing bar. Treat it as 'the trend may be pausing', not 'the trend has reversed', until confirmed.

PATTERN 10 OF 14

Bearish Harami

Momentum contracts sharply after a strong advance

BIAS	RELIABILITY	BEST SEEN
Bearish Reversal	**Medium**	**After an uptrend**

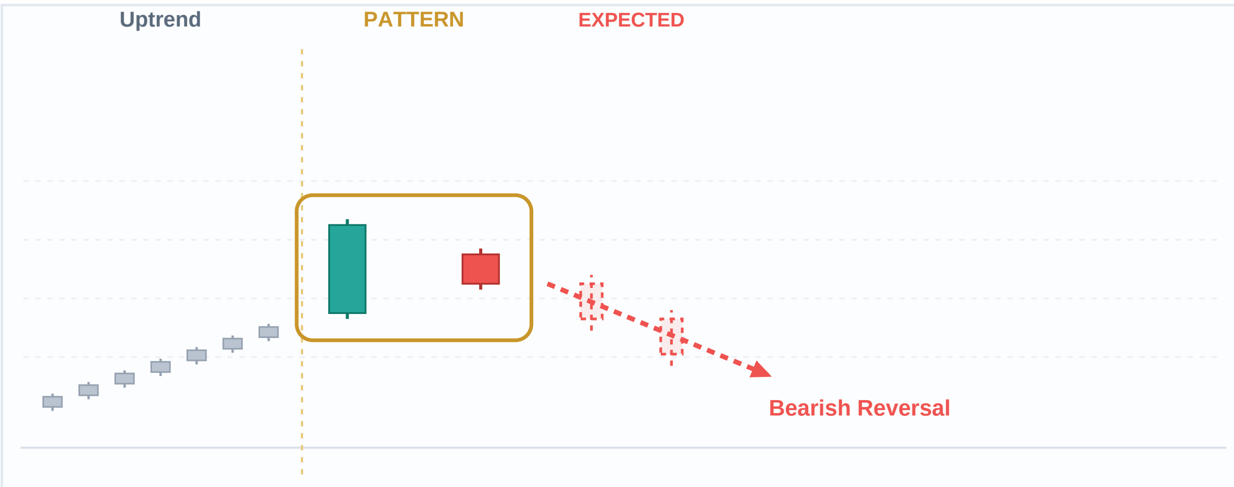


Figure — Bearish Harami: prior trend, the pattern, and its implied bias.

What it looks like

A large bullish (green) candle followed by a small bearish (red) candle fully contained inside the first candle's body.

The psychology behind it

Strong buying pressure suddenly contracts into a small, indecisive candle — a sign that the rally's momentum is fading even before sellers have fully asserted control.

How OneWay FX traders use it

Traders treat this as an early caution sign after a rally. Confirmation from a lower close on the next candle strengthens the case for a bearish position.

Caution

A Bearish Harami deep inside a strong, high-momentum uptrend can simply be a pause, not a reversal — always wait for confirmation before acting.

PATTERN 11 OF 14

Morning Star

Darkness, hesitation, then a decisive dawn

BIAS	RELIABILITY	BEST SEEN
Bullish Reversal	**High**	**After a downtrend**

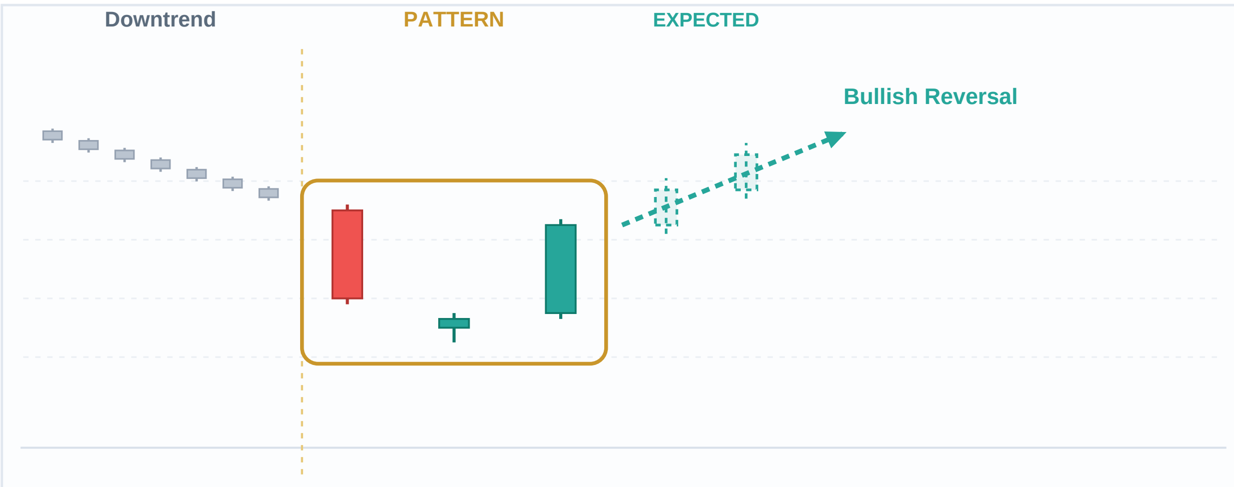


Figure — Morning Star: prior trend, the pattern, and its implied bias.

What it looks like

A three-candle pattern: a large bearish candle, followed by a small-bodied candle (the 'star') that gaps or dips lower and shows indecision, followed by a large bullish candle that closes well back into the body of the first candle.

The psychology behind it

Candle one shows sellers firmly in control. Candle two shows that control breaking down into indecision. Candle three shows buyers seizing control decisively — the three candles together tell a complete story of a trend reversal in progress.

How OneWay FX traders use it

The Morning Star is regarded as one of the more reliable multi-candle reversal patterns. Traders typically wait for the third candle to close before entering a bullish position, since it confirms the reversal that the star candle only hinted at.

Caution

The pattern is strongest when the third candle closes above the midpoint of the first candle's body — a weak third candle produces a much less reliable signal.

PATTERN 12 OF 14

Evening Star

A bright rally, a flicker of doubt, then dusk

BIAS	RELIABILITY	BEST SEEN
Bearish Reversal	**High**	**After an uptrend**

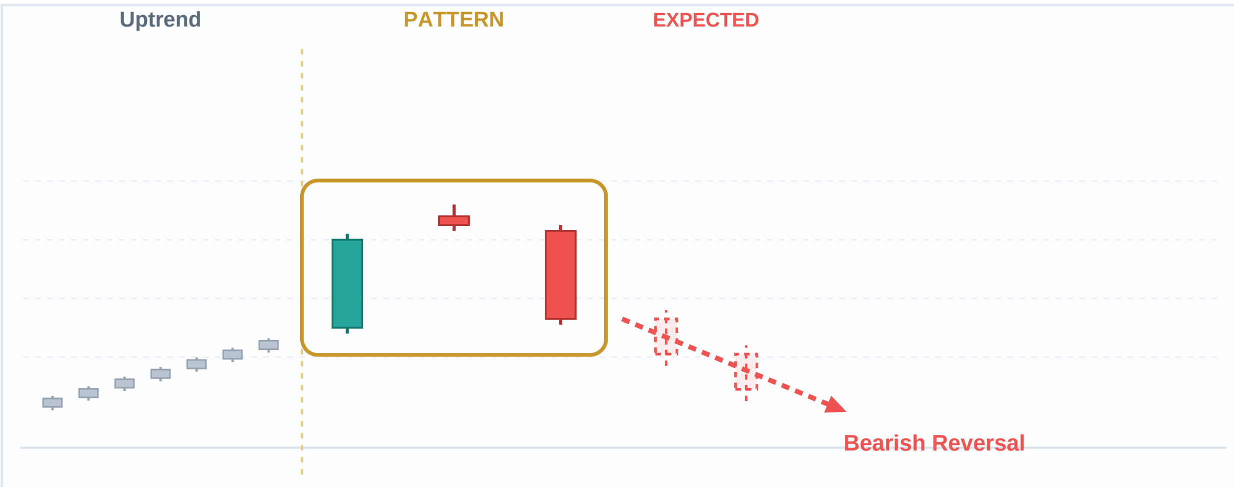


Figure — Evening Star: prior trend, the pattern, and its implied bias.

What it looks like

The mirror of the Morning Star: a large bullish candle, followed by a small-bodied 'star' candle that gaps or pushes higher and shows indecision, followed by a large bearish candle that closes well back into the first candle's body.

The psychology behind it

Buyers are firmly in control on candle one, momentum stalls into indecision on candle two, and sellers take decisive control on candle three — a full narrative of a top forming in real time.

How OneWay FX traders use it

Traders treat a confirmed Evening Star after an extended uptrend as a strong signal to position for a move lower, entering once the third candle closes.

Caution

As with the Morning Star, the depth of the third candle's close into the first candle's body determines the strength of the signal — a shallow close is a weaker warning.

PATTERN 13 OF 14

Tweezer Tops

Two candles slam into the exact same ceiling

BIAS	RELIABILITY	BEST SEEN
Bearish Reversal	**Medium**	**After an uptrend, at resistance**

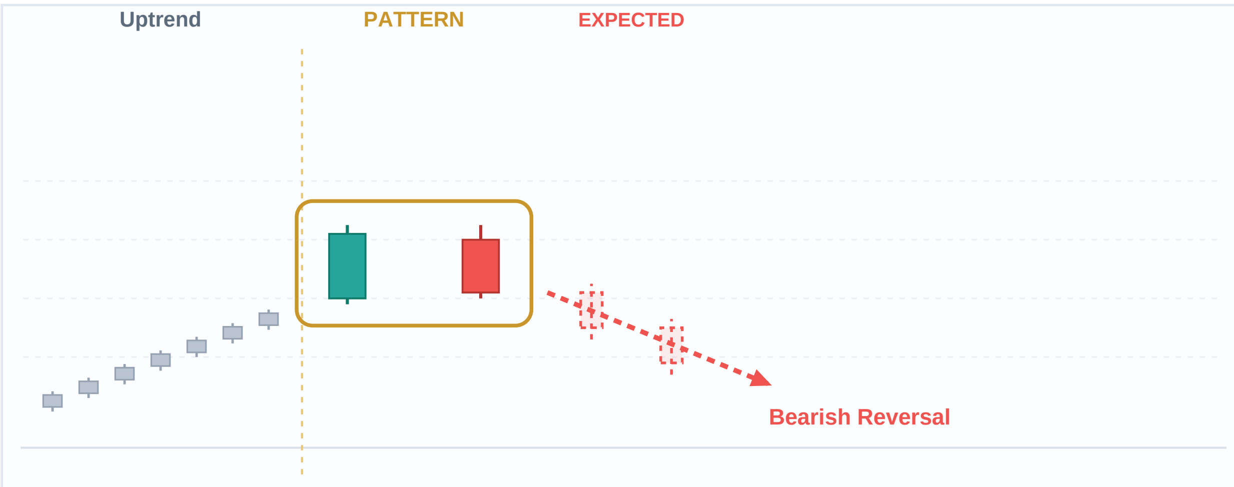


Figure — Tweezer Tops: prior trend, the pattern, and its implied bias.

What it looks like

Two (or more) consecutive candles with matching, or nearly matching, highs — typically a bullish candle followed by a bearish candle — forming a visible 'twin peaks' ceiling on the chart, like the two prongs of a pair of tweezers.

The psychology behind it

Price attempted to push to a new high twice in a row and was turned back at almost the identical level both times. That repeated rejection marks the level as meaningful resistance and suggests buying pressure is exhausted there.

How OneWay FX traders use it

Traders use Tweezer Tops as confirmation of a resistance level and often combine it with other bearish signals (such as a Bearish Engulfing Bar or Doji) at the same level to strengthen the case for a short-term reversal trade.

Caution

The matching highs are the entire signal — the bodies and colors of the two candles matter less. The more precisely the highs align, the stronger the resistance implication.

PATTERN 14 OF 14

Tweezer Bottoms

Two candles bounce off the exact same floor

BIAS	RELIABILITY	BEST SEEN
Bullish Reversal	**Medium**	**After a downtrend, at support**

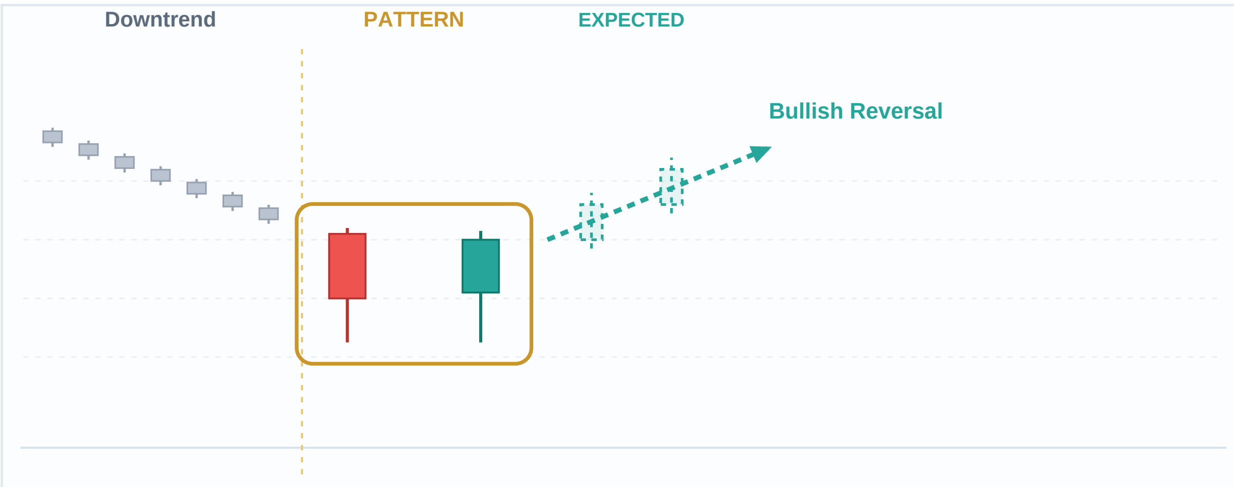


Figure — Tweezer Bottoms: prior trend, the pattern, and its implied bias.

What it looks like

Two (or more) consecutive candles with matching, or nearly matching, lows — typically a bearish candle followed by a bullish candle — forming a visible 'double floor' on the chart.

The psychology behind it

Price tested a low twice and found buyers defending the exact same level both times. The repeated rejection of lower prices marks strong, tested support and suggests sellers are running out of conviction.

How OneWay FX traders use it

Traders treat Tweezer Bottoms as confirmation of a support level, often pairing it with a bullish follow-through candle or another bullish signal at the same level before entering a long position.

Caution

As with Tweezer Tops, precise alignment of the lows is what gives the pattern weight — loosely matching lows are a much weaker signal.

CHAPTER 5

Putting Patterns to Work in HFX / Binary Options

Recognizing a pattern is only step one. Turning that recognition into a disciplined trade decision is what separates consistent traders from everyone else. Here is a simple framework to apply every pattern in this guide.

Step 1 — Establish context

Identify the prevailing trend and any nearby support or resistance levels before you look for a pattern. The same candle shape means little in the wrong context and a great deal in the right one.

Step 2 — Spot the pattern

Look for one of the fourteen patterns in this guide forming at a meaningful location — the end of a trend, or at a tested support/resistance level.

Step 3 — Wait for confirmation

Where noted, wait for the next candle to close in the direction the pattern implies. Confirmation costs you a small amount of timing but meaningfully improves reliability.

Step 4 — Check for confluence

A pattern that lines up with a support/resistance level, a trendline, or another indicator is a stronger signal than a pattern appearing on its own.

Step 5 — Size the trade and set your risk

Decide your position size and expiry before you enter — never after. Know exactly what you are risking and what your maximum loss on the trade is.

CHAPTER 6

Risk & Money Management

No pattern in this guide wins every time. Even the highest-reliability setups — engulfing bars and star patterns — fail regularly. Long-term success in HFX / binary options trading comes from managing risk consistently across many trades, not from finding a pattern that never loses.

Risk only what you can afford to lose

Never risk capital you need for living expenses, debt payments, or emergencies. Trading capital should be money you could lose entirely without it affecting your life.

Use small, consistent position sizes

A common guideline is to risk a small, fixed percentage of your account on any single trade so that a losing streak — which will happen — does not meaningfully damage your capital.

Practice on a demo account first

Before trading live, practice identifying and trading these patterns on a demo account until you can do so consistently and without hesitation.

Keep a trading journal

Record every trade: the pattern, the context, the outcome, and what you would do differently. Patterns are learned through repetition and honest review.

Know the rules where you live

Binary options products are regulated differently — and in some cases restricted — across different countries. Confirm what is permitted in your jurisdiction before trading.

CLOSING NOTE

From the OneWay FX Team

Candlestick reading is a skill that compounds. The first few dozen charts you study will feel effortful; over time, pattern recognition becomes second nature, and you'll start to see the story a chart is telling at a glance. Keep this guide as a reference, revisit the pattern library often, and — above all — pair every pattern you learn with disciplined risk management.

Thank you for trusting OneWay FX as part of your trading education. We wish you clear charts and disciplined decisions.

OneWay FX

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